Instead of an upward retrace in a downtrend, the pipe marks the turning point for higher prices.

Consider **Figure 50.3**, a pipe top in a stock that has been moving sideways for about a year. Upward breakouts from these long, flat consolidation areas typically mark the beginning of a long rise, as in this case. For many chart patterns, there is one overriding rule: There must be something to reverse.

You can see that the consolidation region narrows over time, reminiscent of a long, symmetrical triangle. Even the volume pattern supports the triangle by receding most of the way. Since the boundaries of a symmetrical triangle mark lines of support and resistance, the possible decline from the pipe base to the triangle boundary is just 5%, not a very compelling investment. In essence, there just is not much of a climb to reverse.

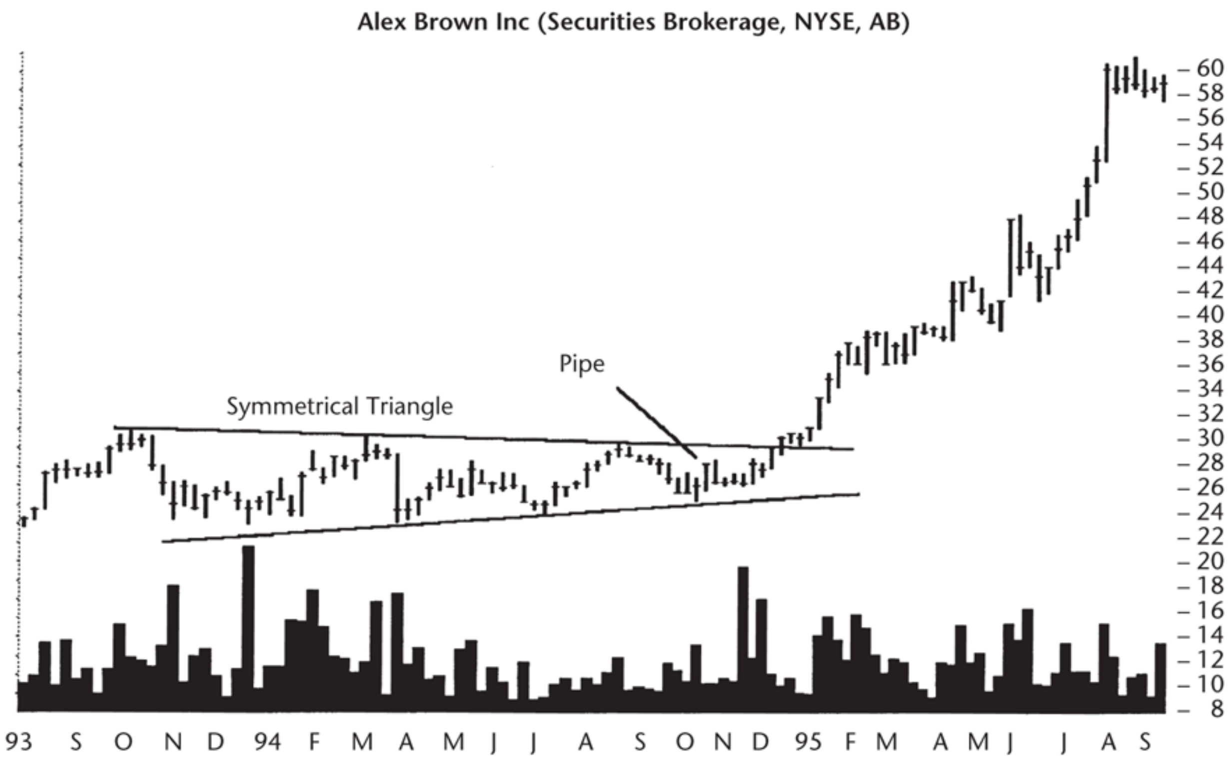

Figure 50.3 This pipe top forms near the end of a long symmetrical triangle on the weekly chart. An investor should wait for a downward breakout before trading any pipe top. The pipe never confirmed as a valid pattern.

However, in all fairness, if the pipe correctly predicted a downward breakout from the triangle, I would be telling you a different story. Since it is difficult or impossible to predict the breakout direction from a